

Arcadia Property Group — Draw #13 Reconciliation

CRM activity log vs. email thread (April 2025)

Borrower: Arcadia Property Group · **RM:** Tom DeLuca · **Prepared for:** RM review **Scope:** Reconciles the `rm\_activity\_log` against the Draw #13 email thread (`emails/thread`, 2025-04-22→25) and the structured loan-performance series. Facts only — credit judgments are quoted verbatim and attributed to their human author.

What actually happened

Liang submitted Draw #13 (\$875K, GC-certified 91% complete) on **April 22, 2025**. Tom flagged four missing items on April 23: Q1 2025 third-party inspector report, GC updated schedule with revised completion date, executed MEP lien waivers (conditional acceptable), and an updated pre-lease summary with tenant names, square footage, and rent psf. Liang replied April 24 — items 1–3 by Friday, but two of three LOIs confidential pending tenant board approval. Tom escalated to Marcus Chen on **April 25, 9:30 AM**; Chen ruled the same day at **11:45 AM**.

What's mis-dated

The single CRM row `rm\_activity\_log:2025-04-09` ("Draw #13 submitted. 91% complete... Escalated to Marcus Chen") is dated roughly **13 days before** the email exchange it summarizes. Per Liang's email, Draw #13 was submitted **April 22**, and the Chen escalation occurred **April 25** — not the 9th. One log entry collapses a multi-day exchange and back-dates it, which makes the file read 13 days fresher than the correspondence supports (it distorts contact-recency math).

What decision isn't in the file

Marcus Chen's April 25 ruling never reached the CRM — the log ends at the mis-dated April 9 row. Surfaced verbatim as the scribe (per M. Chen, email 2025-04-25, 11:45 AM):

- > "fund the draw. The construction docs are in order and the interest reserve is fine."
 - > "don't waive the 75% threshold for perm conversion. The LOIs need to be executed and we need tenant names for our file — confidentiality concerns are the tenant's problem, not ours. Tell Liang that when the leases are signed we'll move quickly on perm conversion, but we can't convert on verbal LOIs."
 - > "get a call on the calendar with Liang this week. I want to understand what's behind the slower-than-expected leasing velocity. The original pro forma had retail at 85% occupancy at stabilization. 75% perm conversion threshold is already a floor — if the long-term picture is 71-73%, that's a different underwriting story than what we approved."
- A provenance-tagged CRM entry capturing this is proposed below for your approval (propose-only).

Figure / date contradictions

Fact	Source A	Source B
Completion date	Log `2024-12-04`: "Q4 2025"	Liang email 2025-04-22: "end of July" (~90 days behind original Q3 2025)
Draw #13 submission	Log `2025-04-09`	Liang email 2025-04-22
Chen escalation	Log `2025-04-09`	Email 2025-04-25 09:30
Draw #13 amount (\$875K)	Not in log	Email only
Draw numbering	Log jumps #11 (12-04) → #13 (04-09)	Structured data: #12 funded 2024-12, draw funded 2025-02

What's still open

- **Missing Draw #13 docs** — Q1 2025 inspector report, GC revised schedule, MEP lien waivers; promised "by Friday" (Apr 25). No source confirms delivery.

- **Tenant names for two of three LOIs** — withheld as confidential; Chen requires them for the file. Unverifiable.
- **Call with Liang** — Chen asked for one "this week." No subsequent log entry shows it occurred.
- **Pre-leasing 71% vs 75% perm-conversion threshold** — 4pp gap (`detect\_deterioration\_signals`, as-of 2025-05).

The record carries no entries after 2025-04-25, so all four are open/unverifiable from the available data.

PROPOSED CRM ENTRY — for RM review (propose-only; not written)

log_date: 2025-04-25 **rm_name:** Tom DeLuca **borrower_name:** Arcadia Property Group **contact_type:** Draw Review / Credit Escalation **contact_direction:** Internal **contact_method:** Email **outcome:** Escalation resolved — draw approved; perm-conversion threshold not waived **logged_by:** [proposed by reconciliation — RM to approve] **notes_quality:** High **raw_notes:** Draw #13 (\$875K, 91% complete) escalated to Marcus Chen 2025-04-25 re: pre-lease at 71% vs 75% perm-conversion threshold and two of three LOIs with names withheld. Chen decision (verbatim, per M. Chen email 2025-04-25 11:45): "fund the draw. The construction docs are in order and the interest reserve is fine." On pre-lease: "don't waive the 75% threshold for perm conversion. The LOIs need to be executed and we need tenant names for our file — confidentiality concerns are the tenant's problem, not ours. Tell Liang that when the leases are signed we'll move quickly on perm conversion, but we can't convert on verbal LOIs." Also directed: "get a call on the calendar with Liang this week" to understand leasing velocity vs the original pro forma's 85% stabilized occupancy. Source: emails/thread (2025-04-22→25).

Proposed follow-up tasks:

- 1 Schedule call with R. Liang re: leasing velocity — owner: T. DeLuca — due: week of 2025-04-28 (per Chen directive).
- 2 Obtain executed leases + tenant names for LOIs before any perm-conversion action — owner: T. DeLuca — due: open.
- 3 Confirm receipt of missing Draw #13 docs (Q1 inspector report, GC revised schedule, MEP lien waivers) — owner: T. DeLuca — due: 2025-04-25 (promised).

Reconciliation flags (do not overwrite):

- Existing row `rm\_activity\_log:2025-04-09` is mis-dated — it summarizes the 2025-04-22→25 exchange and pre-dates it by ~13 days. Recommend the RM correct the date to 2025-04-22 (submission) and add this 2025-04-25 entry for the escalation/decision, rather than editing in place.
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Reliability: Partial · 4 low-confidence input(s) · 5 cross-source mismatch(es) (Requires RM review before client/credit-file use — §4.3)